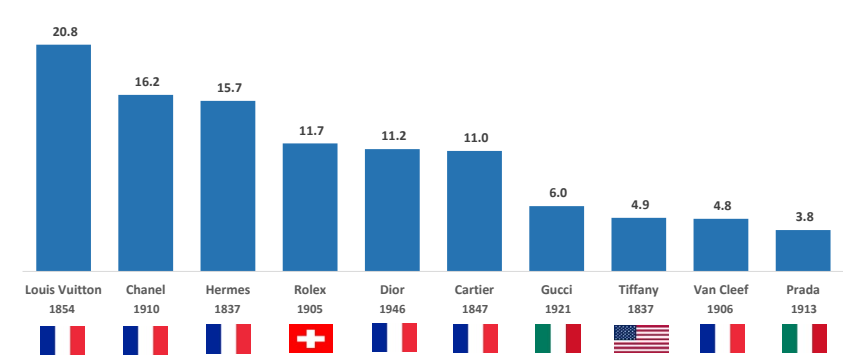


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Luxury Goods | Europe

Top 10 Brands Ranked by Turnover – Key Takeaways

Exhibit 1: Top 10 luxury brands by turnover in €bn in 2025 (MS estimates)



Source: Morgan Stanley Research estimates
Note: Dior includes Dior Couture (~€7.3bn) and Dior Parfums (~€3.9bn). The Chanel Group reported a turnover of \$19.3bn (€17.0bn) for the year ending December 2025. However, we estimate that non-Chanel brands generated sales of ~€3.1bn. Hence our estimate that Chanel brand's turnover stood at ~€16.2bn in 2025 (including Fashion & Leather Goods, Watches & Jewellery and Cosmetics). The Hermès Group generated a turnover of €16bn in 2025. However, we estimate Hermès brand sales at only ~€15.7bn (stripping out John Lobb, Saint-Louis and Puiforcat). Richemont reports on a fiscal-year basis (March year-end). On calendar year 2025, we estimate Richemont Jewellery Maisons grew 9% YoY, with Cartier up 8% YoY and Van Cleef up 10% YoY.

What's new? Post the release of Chanel's full-year results a few days ago, we publish a ranking of the personal luxury goods brands by a) turnover, b) total retail sales and c) operating profit. As we explain below, some of these figures are reported by the companies, while others are our estimates. Also, in the [Appendix](#), we lay out our methodology for calculating total retail sales (adjusting wholesale sales and royalty income).

#1 – Top 10 ranking in 2025: same players as last year, slightly different ranking. Rolex and Dior swapped their respective 5th and 4th position in 2025, as Rolex' turnover expanded by an estimated 5% to €11.7bn, while Dior's contracted by an estimated -9% to €11.2bn. All other brands in the top 10 held their position versus 2024. As a result, in 2025, out of the top 10 brands, six were French, two Italian (Gucci and Prada), one Swiss (Rolex) and one American (Tiffany). The most recent one by founding date is Dior, established in Paris about 80 years ago (1946). All the other leading brands were founded over 100 years ago. This highlights the importance of heritage and provenance in the personal luxury goods space.

#2 – Is the sector still polarising? For more than two decades, the largest luxury brands have been gaining share, leading to a polarisation of the sector (somewhat counter-intuitively). On our analysis, between 2016 and 2025, the Big 5 in the fashion & leather goods vertical – Vuitton, Chanel, Dior, Hermès and Gucci – accounted for ~80% of industry growth (and ~85% of profit growth) – we use the top 21 largest brands as a proxy for the industry. In 2025, the annual market share gains of the Big 5 have paused – in fact, on aggregate, they slightly lost share – in a contracting industry (partially a function of a significant market share loss at Gucci).

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#3 – Vuitton: still the largest and most profitable luxury brand, but the gap at the top with Chanel has nearly closed.

Vuitton remains the largest brand on every measure, but its estimated turnover has fallen for a second consecutive year, down roughly -6% to €20.8bn (after a -1.5% decline in 2024), with EBIT down a sharper -13% to €9.5bn. Chanel brand's turnover is down -1% to €16.2bn (see below). The more interesting comparison is in *total retail sales*: we estimate that the Chanel brand (€20.7bn) now trails Vuitton (€20.8bn) by just €0.1bn, down from a €0.6bn gap in 2024 and a much wider gap in 2023. If Vuitton's DTC-heavy retail base keeps contracting while Chanel's holds up better, Chanel could plausibly overtake Vuitton on this specific metric as soon as 2026 (credit-card data point to a relatively flat turnover year over year for Vuitton in 1H26, vs. a c.+10% increase for Chanel). That said, Vuitton should remain the clear leader on turnover and profit this year, given its far higher margin structure, a function of its 100% DTC channel mix and heavy reliance on leather goods.

#4 – Chanel: the second-largest brand. Chanel Group's turnover was down -1% in 2025 to €17.0bn (\$19.3bn). Between 2016 (the first year for which Chanel's consolidated accounts are publicly available) and 2025, Chanel Group's turnover expanded by +9% CAGR in euro terms to €17.0bn. We estimate that the Chanel brand accounted for ~95% of Chanel's consolidated turnover in 2025, which also includes brands such as Eres, OrleBar Brown and Goossens, and manufacturing activities such as Desrues Metier d'Art, Maison Michel, etc. This implies that Chanel brand's turnover stood at €16.2bn, making it the second-largest brand after Vuitton. But, while Chanel brand is ~22% smaller than Vuitton in turnover terms, it is only ~1% smaller when looking at total retail value (€20.7bn and €20.8bn, respectively), given that Vuitton is 100% direct to consumer (DTC), while the vast majority of Chanel's cosmetics are sold via third-party retailers. As per our [recent note](#), we estimate that the Cosmetics division accounted for 23% of total sales in 2025, Fashion & Leather Goods (67%) and Watches & Jewellery (~5%).

#5 – Hermès: a solid number-three position. Hermès was the third-largest brand by turnover, unchanged vs. 2024. In 2025, Hermès Group turnover was up +5.5% to €16bn (its slowest pace since 2013 – with the exception of 2020 during Covid – but still one of only four top 10 brands to grow last year). The Group generated a turnover of €16bn in 2025. However, we estimate Hermès brand sales at only ~€15.7bn (stripping out John Lobb, Saint-Louis and Puiforcat, as well as sales of skins to third parties). Adjusting for the fact that Wholesale accounted for 8% of Group sales in 2025 (mainly concessions and travel retail), we estimate that Hermès brand retail sales amounted to €16.9bn last year. As a result, Hermès has a solid number-three position when looking at total retail sales, behind Vuitton and Chanel. EBIT was up +6.8% to €6.6bn in 2025 (a 41.1% operating margin).

#6 – Dior's downturn has broadened. Per our estimates, Dior has now posted two consecutive years of turnover contraction, with turnover contracting from an estimated €12.8bn in 2023 to €12.3bn in 2024 and €11.2bn in 2025 – combining Dior Couture (~€7.3bn) with Dior Parfums (~€3.9bn). Note that LVMH reports Dior Couture within its 'fashion & leather goods division', while Dior Parfums' sales are included in its 'cosmetics' division (unlike Vuitton, for example, whose entire turnover is included in LVMH's 'fashion & leather goods division'). Dior's turnover

slips from 4th to 5th (down an estimated -9% to €11.2bn, on top of the roughly -6% decline already recorded in 2024, which is a cumulative peak-to-trough decline of close to -15%). Following the appointment of Jonathan Anderson as sole Creative Director in 2025, we expect Dior Couture sales to inflect in 2026 (with constant FX sales already turning positive by +1-2% YoY in 2Q26 after an estimated YoY decline of -2% to -3% in 1Q26, on our estimates). However, we expect the pace of the top-line recovery in 2026 to be more pedestrian than initially anticipated, with full-year sales likely up only LSD (among other reasons because competitor Chanel is capturing a disproportionate share of the segment's growth, we believe).

#7 – Rolex. In 2025, we estimate that Rolex brand sales stood at CHF 11.0bn (+4%), or ~€11.7bn (+5.4%), with units sold at 1.15mn (-2%). See our [Ninth Annual Swiss Watcher](#). The growth in value was again primarily price-driven: ASP rose ~+6% YoY to ~CHF 14,000, more than offsetting the decline in volumes (see [here](#)). This is the first time in over 20 years that Rolex volumes have declined for two consecutive years, reflecting the brand's disciplined approach to scarcity. As measured by turnover, it rose from the fifth to the fourth-largest personal luxury brand in 2025, overtaking Dior (€11.2bn), and now only behind Louis Vuitton (€20.8bn), Chanel (€16.2bn) and Hermès (€15.7bn). Given that an estimated ~92% of Rolex sales continue to be generated via third-party retailers, Rolex sales in retail value were significantly higher: ~CHF 16.1bn (~\$20.6bn or ~€17bn), we estimate it has now exceeded Apple Watch's estimated global revenues (~\$19bn), reinforcing Rolex's leadership across the broader global watch market. This remains an impressive feat, given that Rolex is present in only one product category (Swiss watches), while the above-mentioned brands generally have a presence in 10 or more categories. No other brand dominates the category in which it competes more than Rolex. For 2025, we estimate the brand's share of the Swiss watch market at 33% (retail value), up from 26% in 2019. This year, we estimate Rolex volumes will remain broadly flattish, with further ASP-led growth likely enough to keep the brand among the very top ranks of the global personal luxury goods industry.

#8 – Cartier. Cartier's turnover for the calendar year ending December 2025 rose an estimated +8% to €11.0bn (from €10.3bn in 2024), keeping the brand in sixth place by turnover, just behind Dior (€11.2bn) and Rolex (€11.7bn). Retail sales stood at €12.3bn and EBIT at €3.5bn, both top six among the ranked brands. Cartier's fortunes have improved noticeably post the appointment of Cyrille Vigneron as CEO in 2016 (and have continued under the leadership of CEO Louis Ferla since 2024): between 2015 and 2025 we estimate that Cartier's turnover CAGR stood at ~+10% in euro terms, making it a clear outperformer in the jewellery category. So far in 2026, we believe the brand is up >+12% YoY in euro terms, with Cartier more than likely continuing to gain share in both the jewellery and Swiss watch segments. Should its top-line momentum continue at a similar pace in 2H26 vs. 1H26, Cartier's turnover is likely to exceed that of Dior in 2026.

#9 – Gucci. Gucci's turnover fell a reported -22% to €6.0bn in 2025 (from €7.7bn in 2024) – the sharpest decline in the top 10 for a second consecutive year, reflecting a deeper and more prolonged reset than peers. The brand nonetheless held its 7th-place ranking by turnover, with retail sales of €8.6bn and EBIT of €1.0bn.

#10 – Tiffany. We estimate that Tiffany's sales reached €4.9bn in calendar 2025,

down -3% versus calendar 2024 (€5.1bn). Like Richemont, LVMH does not break down sales of individual brands, so this remains our estimate. This implies that Tiffany accounted for 47% of LVMH's Watches & Jewellery division sales in 2025 (other brands include Bulgari, Chaumet, Fred, Hublot, Tag Heuer and Zenith). Post completion of its acquisition of Tiffany in January 2021, LVMH has been working hard at elevating the brand, translating to important changes in terms of product, communication and distribution. However, changes are being implemented against a difficult backdrop, and while Tiffany's sales to the middle income consumer (particularly in the United States) have been under pressure (compounded by the very steep price increases Tiffany passed on in recent years, among the steepest in the jewellery industry), the brand has not yet been able to completely offset this shortfall by selling higher priced iconic gold lines (e.g. Lock, Tiffany T, Hardware, etc.). Tiffany drops out of the top 10 brands by retail sales and EBIT in 2025, having ranked 10th by retail sales (€5.6bn) in 2024.

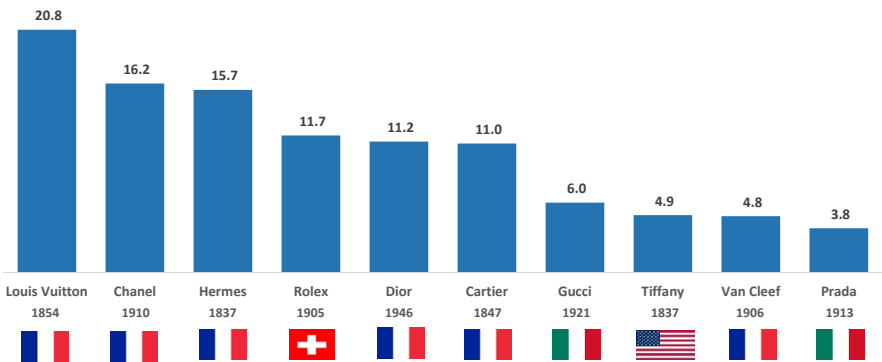
#11 – Prada. Among the top 10 largest personal luxury brands (by turnover), the Prada brand was down -4.8% in euro terms to €3.8bn (from €4.0bn in 2024). Retail sales stood at an impressive €5.8bn in 2025 (mostly a function of large eyewear and cosmetics licences) and EBIT at €0.8bn in 2025 (a ~21% margin), we estimate.

#12 – Van Cleef & Arpels. Van Cleef's turnover expanded to an estimated €4.8bn in 2025 (12 months to December 2025), up +10% from €4.4bn in 2024. This continues its trajectory since joining the top 10 personal luxury brand ranking for the first time in 2024, having grown from ~€750m in 2013 under former CEO Nicolas Bos. Van Cleef's EBIT reached €1.5bn in 2025 and is now ahead of Gucci's despite Gucci's larger turnover, while retail sales stood at €5.8bn.

#13 – Saint Laurent. The brand is not in our top 10 ranking by turnover in 2025 (nor was it in the ranking last year). With reported sales of €2,643m in 2025, down -8.3%, we estimate that Saint Laurent would only be ranked 13th. However, it is interesting to note how significant the brand is when measured by retail sales (which we estimate at €9.6bn in 2025, ranked 7th as can be seen on the next page). This is a function of two large franchises: Eyewear (part of Kering Eyewear division), which likely generated retail sales of €200m in 2025 and, more importantly, Cosmetics (licensed to L'Oréal). As per L'Oréal comments in recent months, we estimate that L'Oréal generated a turnover of ~€3.1bn with Saint Laurent Beauté (and thus retail sales of approximately €6.2bn, when taking into account third-party retailers' mark-up). Thus Saint Laurent is unique among large luxury brands in that Cosmetics turnover (~€3.1bn) exceeded Fashion & Leather Goods turnover (€2.6bn) in 2025. Chanel, Dior, Gucci, etc. F&LG turnover all significantly exceeded cosmetics turnover last year.

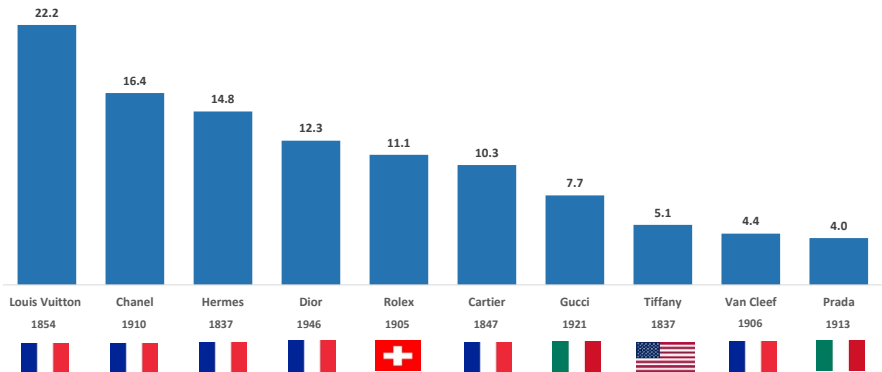
Appendix

Exhibit 2: Top 10 luxury brands **by turnover** in €bn in 2025 (MS estimates)

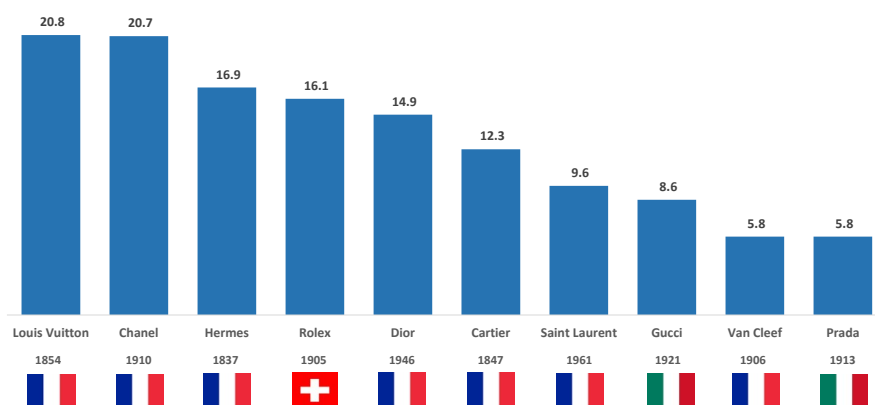


Source: Morgan Stanley Research estimates
Note: Dior includes Dior Couture (~€7.3bn) and Dior Parfums (~€3.9bn). The Chanel Group reported a turnover of \$19.3bn (€17.0bn) for the year ending December 2025. However, we estimate that non-Chanel brands generated sales of ~€3.1bn. Hence our estimate that Chanel brand's turnover stood at ~€16.2bn in 2025 (including Fashion & Leather Goods, Watches & Jewellery and Cosmetics). The Hermès Group generated a turnover of €16bn in 2025. However, we estimate Hermès brands sales at only ~€15.7bn (stripping out John Lobb, Saint-Louis and Puiforcat). Richemont reports on a fiscal-year basis (year-end March). On calendar year 2025, we estimate Richemont Jewellery Maisons grew 9% YoY, with Cartier up 8% YoY and Van Cleef up 10% YoY.

Exhibit 3: Top 10 luxury brands **by turnover** in €bn in 2024 (MS estimates)

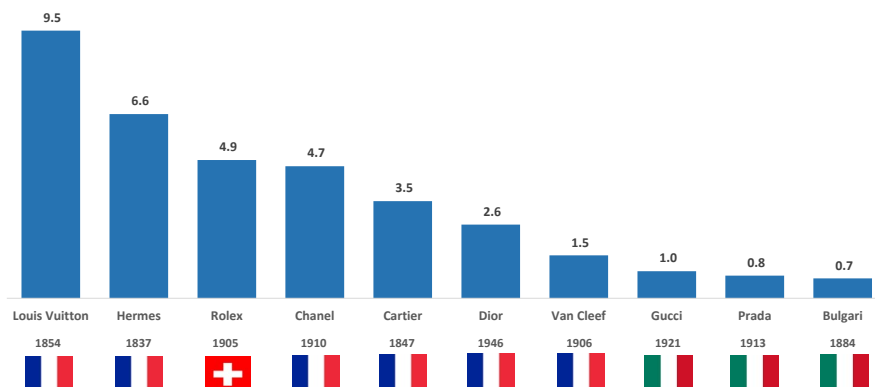


Source: Morgan Stanley Research estimates
Note: Dior includes Dior Couture and Dior Parfums.

Exhibit 4: Top 10 luxury brands **by retail sales** in €bn in 2025 (MS estimates)

Source: Morgan Stanley Research estimates

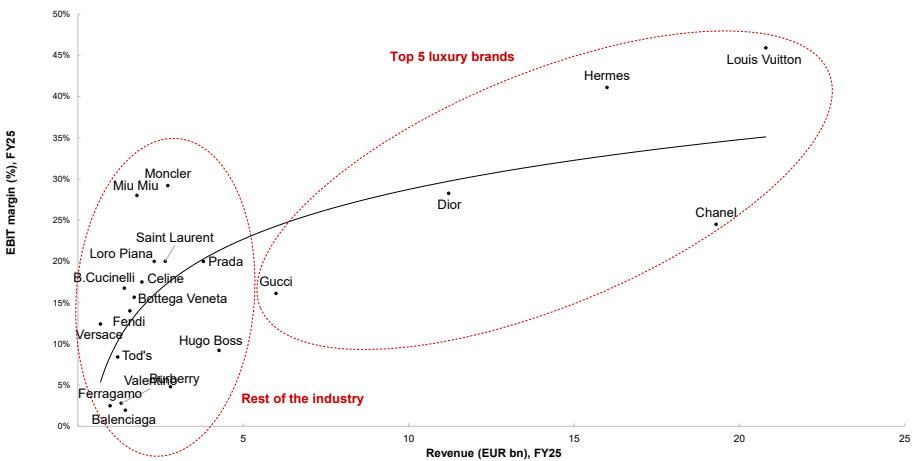
Note: We apply a multiplier of 2x for Wholesale activities and 10x for licencing activities (mainly cosmetics and eyewear).

Exhibit 5: Top 10 luxury brands **by EBIT** in €bn in 2025 (MS estimates)

Source: Morgan Stanley Research estimates

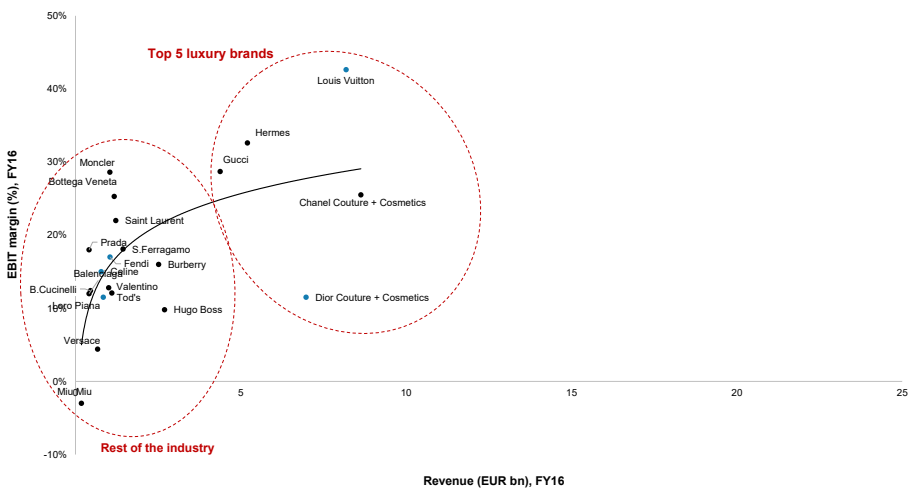
Note: Dior includes Dior Couture and Dior Parfums.

Exhibit 6: EBIT margin and revenue of major luxury companies 2025



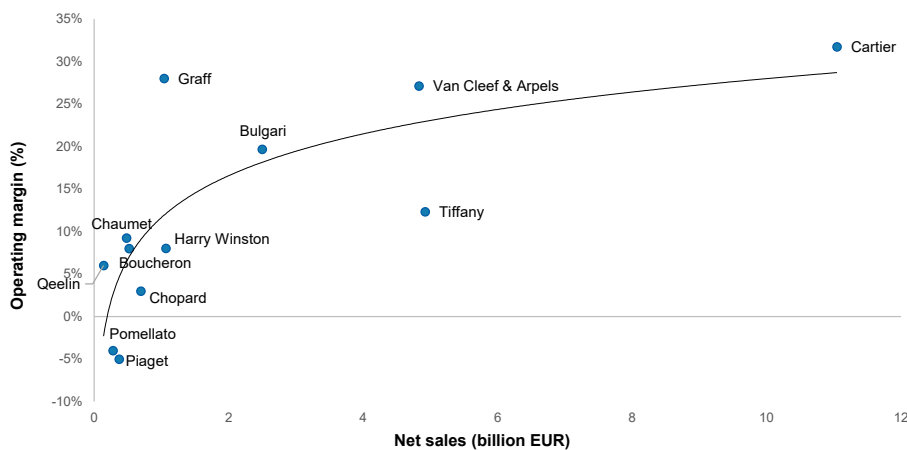
Source: Company data, Morgan Stanley Research estimates
Note: Burberry is for FY26 (March year-end). Versace is calendarised for CY25. Louis Vuitton, Dior, Loro Piana, Balenciaga, Burberry, Fendi, and Celine are MS estimates. For the top 21 brands in the industry ranked by sales, we calculate that the top 5 contributed to ~83% of revenue growth and ~87% of profit growth in 2016-25.

Exhibit 7: EBIT margin and revenue of major luxury companies 2016



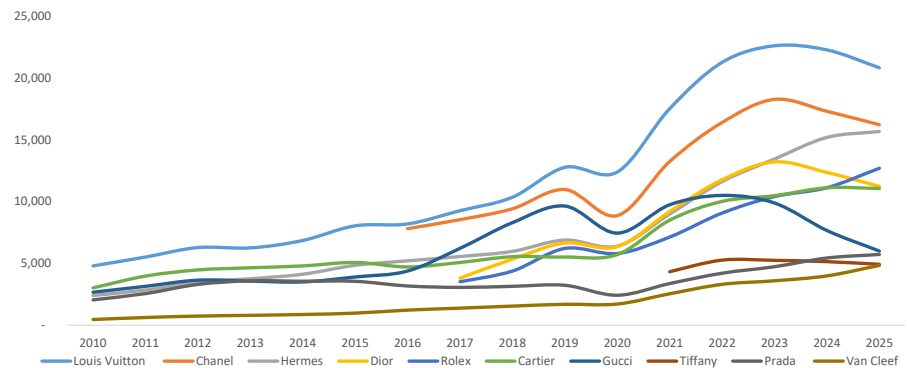
Source: Company data, Morgan Stanley Research estimates.
Note: Burberry FY16 March year-end. Louis Vuitton, Loro Piana, Balenciaga, Burberry, Fendi, Saint Laurent, Bottega Veneta, Prada, Miu Miu and Celine are MS estimates.

Exhibit 8: Revenue and operating margin of major luxury jewellery brands 2025 – MS Estimates



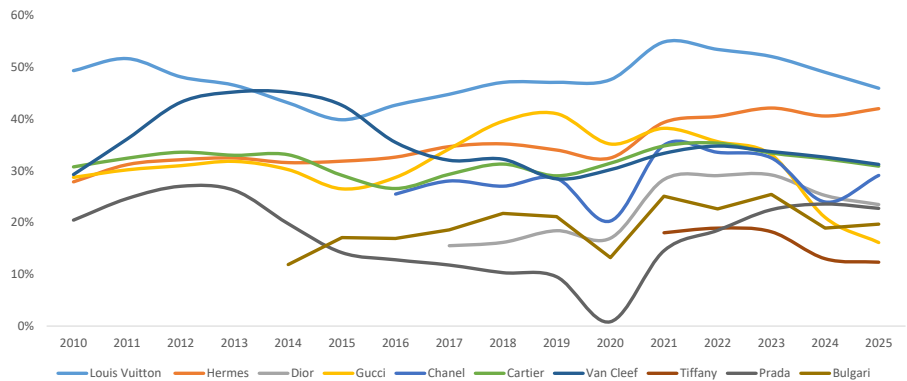
Source: Morgan Stanley Research estimates
Note: 1/ Financials include all categories (including watch and jewellery). 2/ Graff figures are estimated for Graff Diamonds Holdings Limited, incorporated in the British Virgin Islands which holds 100% of the shares of Graff Diamonds International, incorporated in the UK. Based on channel checks as well as discussions with the company, we estimate that Graff Diamonds Holding Limited generated sales of US\$1,051 m in 2024 and an operating margin of 23%. 3/ Cartier and Van Cleef have March year-end.

Exhibit 9: Top 10 brands turnover (€mn) from 2010 to 2025



Source: Company data, Morgan Stanley Research estimates

Exhibit 10: Top 10 brands EBIT margin from 2010 to 2025



Source: Company data, Morgan Stanley Research estimates

Methodology

Our brands turnover ranking is done by compiling published data. For example, Kering breaks down Gucci, Saint Laurent and Bottega Veneta's turnover, and Hermès discloses in the 'Other' segment the sales of its other brands (such as John Lobb or Puyforcat), allowing us to calculate the exact turnover of the Hermès brand. When it comes to estimating other brand turnover, these brands are generally part of segments reported by the respective groups. For instance, Vuitton and Dior Couture turnover is consolidated in the Fashion & Leather Goods segment, whereas Cartier and Van Cleef are consolidated in Richemont's Jewellery Maisons segment. Rolex is a private entity and does not disclose its accounts (unlike Chanel, which is incorporated in the UK and has thus a legal obligation to publish its consolidated financial statements). For details on how we assess Rolex sales, see our [Ninth Annual Swiss Watcher](#).

In order to calculate the brand ranking by total retail sales, we make various adjustments and assumptions. These include mostly the split of sales between retail, wholesale and licence income for each brand, as well as revenues from adjacent categories (essentially eyewear and cosmetics). For example, for the Gucci brand, we make the following adjustments in order to calculate total retail sales in 2024. Our starting point is the €7.7bn published turnover. Given that Wholesale sales accounted for 9% of Gucci sales last year, this implies that retail (€7bn) + wholesale (€690m), to which we apply a 2x multiplier, sales stood at a total €8.3bn. From that, we subtract the licence income for cosmetics and eyewear of €50m and €50m, respectively, which is received Coty and Kering eyewear, respectively. We then add Gucci eyewear retail sales value (€600m generated by Kering Eyewear, which we multiply by two to account for third-party retailers' mark-up) and add Gucci's cosmetics retail sales value (€500m generated by Coty, which we also multiply by two – Coty is covered by Darah Mosehnian). This gets us to a total €10.4bn of retail sales value in 2024.

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(as of June 30, 2026)

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buy recommendation; we correspond Equal-weight and Not-Rated to hold and Underweight to sell recommendations, respectively.

Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

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Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

Analyst Industry Views

Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.

Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

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INDUSTRY COVERAGE: Brands

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/20/2026)
Edouard Aubin		
Adidas (ADSGn.DE)	O (04/15/2024)	€181.50
Birkenstock Holding plc (BIRK.N)	E (11/06/2023)	US\$42.77
Ferrari NV (RACE.N)	O (06/15/2026)	US\$371.52
Ferrari NV (RACE.MI)	O (06/15/2026)	€326.90
Hermes International S.C.A. (HRMS.PA)	E (10/06/2025)	€1,676.00
Kering (PRTP.PA)	E (04/10/2026)	€253.45
LVMH Moët Hennessy Louis Vuitton SA (LVMH.PA)	E (01/19/2026)	€486.85
Richemont SA (CFR.S)	O (02/05/2025)	SFr 196.75
Grace Smalley, CFA		
Burberry (BRBY.L)	O (05/18/2026)	1,048p
EssilorLuxottica SA (ESLX.PA)	O (07/05/2023)	€168.25
Hugo Boss AG (BOSSn.DE)	E (07/09/2024)	€38.02
Luxexperience BV (LUXE.N)	E (09/15/2023)	US\$8.20
Pandora A/S (PNDORA.CO)	E (01/16/2023)	DKr 776.60
PUMA SE (PUMG.DE)	++	€29.30
Natasha Bonnet		
Avolta AG (AVOL.S)	E (04/24/2026)	SFr 47.14
Brunello Cucinelli (BCU.MI)	O (01/27/2026)	€82.86
Ermenegildo Zegna (ZGN.N)	E (02/12/2026)	US\$13.95
Moncler SpA (MONC.MI)	E (06/22/2026)	€52.28
Prada SpA (1913.HK)	E (06/29/2026)	HK\$41.54
Salvatore Ferragamo Spa (SFER.MI)	U (02/12/2026)	€10.47

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* Historical prices are not split adjusted.